Block practice · Paper 2: growth effects, globalisation, protection and applied percentages

Work through each question type in order. Each section has a worked-example retry and all further practice. Attempt only the part outlined in red.

The World Trade Organization: what it does

Why countries protect trade: dumping, infant industries, jobs, safety

Applying a percentage: interest, tax and tariffs

Benefits and costs of economic growth

Who gains and who loses from globalisation

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Practice workbook · The World Trade Organization: what it does

What the WTO does: hosts trade negotiations, sets and enforces trade rules, settles disputes, and pushes members to lower barriers, and how this promotes trade.

6 question parts: 1 worked-example retry and 5 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-T22-10

1. Question 1 · part g · 3 marks

2019 JUN · Paper 02

Worked-example retry · Attempt part g only.

1 (a) The increased integration and interdependence of economies is known as

(1)

- ☒ **A** privatisation
- ☒ **B** specialisation
- ☒ **C** protectionism
- ☒ **D** globalisation

(b) What is the main cause of frictional unemployment?

(1)

- ☒ **A** People choosing not to work
- ☒ **B** People having the wrong skills
- ☒ **C** People changing jobs
- ☒ **D** People employed at certain times of the year

(c) What is meant by the term interest rate?

(2)

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1. Question 1 · part g · 3 marks

2019 JUN · Paper 02

Worked-example retry · Attempt part g only.

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(d) Describe **one** impact on consumers of a decrease in interest rates.

(2)

Rachel buys a t-shirt for 1 000 Kenyan shillings (KES) when she is on holiday.
The exchange rate is £1 = 137.73 KES.

(e) Calculate, to two decimal places, the price in sterling (£) of Rachel's t-shirt. You are advised to show your working.

(2)

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P 6 0 7 4 8 A 0 3 2 4

1. Question 1 · part g · 3 marks

2019 JUN · Paper 02

Worked-example retry · Attempt part g only.

(f) Using the diagram below, draw the effects of the introduction of a quota on the equilibrium price and quantity of a good.
Label the new curve, the new equilibrium price and new equilibrium quantity.

(3)

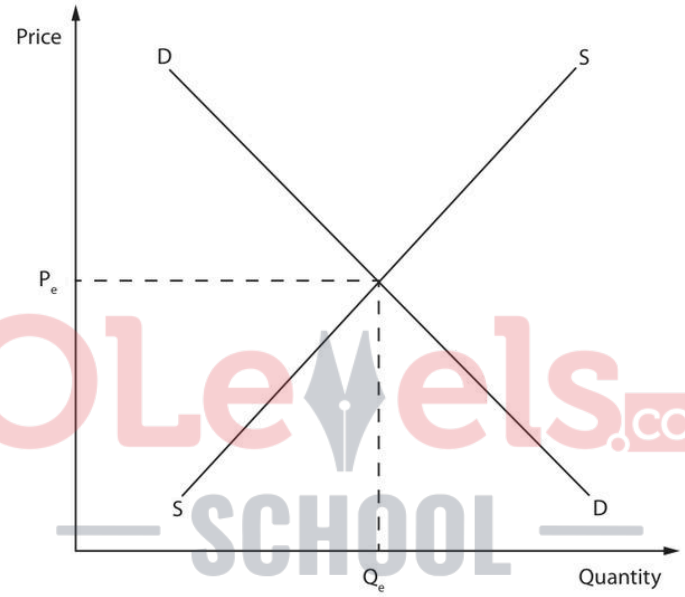


Figure 1

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1. Question 1 · part g · 3 marks

2019 JUN · Paper 02

Worked-example retry · Attempt part g only.

In 2017 the US government wanted to introduce a 300% tariff on imported aircraft made by Canadian manufacturer Bombardier.

(g) Explain **one** way the World Trade Organisation could promote free trade between countries such as Canada and the US.

(3)

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5

Turn over

1. Question 1 · part g · 3 marks

2019 JUN · Paper 02

Worked-example retry · Attempt part g only.

In January 2018, Australia had an unemployment rate of 5.5%.

(h) Analyse how the Australian government might reduce unemployment by using fiscal policy.

(6)

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(Total for Question 1 = 20 marks)

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1. Question 1 · part g · 3 marks · Working and answer

Working and answer

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2. Question 4 · part b · 6 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part b only.

4 Figure 3 shows the amount the US spent on education in 2017–2018.

Fiscal Year	$bn
2017	68
2018	59

(Source adapted from: https://www2.ed.gov/about/overview/budget/budget18/summary/18summary.pdf)

Figure 3

(a) Calculate to two decimal places the **percentage change** in the amount spent on education in the US from 2017–2018. You are advised to show your working.

(2)

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2. Question 4 · part b · 6 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part b only.

The World Trade Organisation (WTO) has 164 members representing 98% of world trade. The US joined in 1995 and has been involved in 422 trade disputes.

(b) Analyse the role of the World Trade Organisation (WTO) in the growth of international trade.

(6)

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2. Question 4 · part b · 6 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part b only.

In 2018, the USA increased its emissions of carbon dioxide. This increase happened even though large numbers of coal-fired power stations were closed and American consumers purchased nearly double the number of electric cars. The main reason, often stated as a benefit to an economy, was high economic growth.

A booming US economy has meant increased industrial production, more truck and air travel and more offices and other workplaces to heat. The result is that the USA will have to do even more in the coming years to meet international commitments for greenhouse gas reductions by increasing its protection of the environment.

(Source adapted from: https://www.nbcnews.com/news/us-news/economic-boom-spikes-carbon-emissions-despite-green-tech-gains-n956336)

(c) With reference to the data above and your knowledge of economics, evaluate whether there is a trade-off between economic growth and environmental protection for a country such as the USA.

(12)

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2. Question 4 · part b · 6 marks · Working and answer

Working and answer

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3. Question 1 · part a · 1 mark

2023 JAN · Paper 02

Further practice · Attempt part a only.

1 (a) Which **one** of the following is a role of the World Trade Organization (WTO)?

(1)

- ☒ **A** Writing off debts
- ☒ **B** Settling trade disputes
- ☒ **C** Increasing trade barriers
- ☒ **D** Paying subsidies to producers

(b) Which **one** of the following is an example of a supply-side policy to increase output?

(1)

- ☒ **A** Increasing income tax
- ☒ **B** Increasing interest rates
- ☒ **C** Increasing the school-leaving age
- ☒ **D** Increasing business taxes

(c) What is meant by the term economies of scale?

(2)

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3. Question 1 · part a · 1 mark · Working and answer

Working and answer

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4. Question 1 · part d · 2 marks

2023 NOV · Paper 02

Further practice · Attempt part d only.

1 (a) Which **one** of the following is a characteristic of progressive taxation?

(1)

- ☒ **A** The tax rate is the same for all income levels
- ☒ **B** The tax rate decreases as income increases
- ☒ **C** The tax rate increases as income increases
- ☒ **D** The tax rate fluctuates based on the overall level of GDP of the economy

(b) Which **one** of the following describes a fiscal surplus?

(1)

- ☒ **A** The value of imports is less than the value of exports
- ☒ **B** The value of imports is greater than the value of exports
- ☒ **C** Government revenue is less than government expenditure
- ☒ **D** Government revenue is greater than government expenditure

(c) What is meant by the term income inequality?

(2)

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4. Question 1 · part d · 2 marks

2023 NOV · Paper 02

Further practice · Attempt part d only.

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(d) Describe **one** role of the World Trade Organization (WTO).

(2)

A country has a labour force of 34 million people of which 32 million people are employed.

(e) Calculate, to two decimal places, the **rate of unemployment**. You are advised to show your working.

(2)

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4. Question 1 · part d · 2 marks · Working and answer

Working and answer

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5. Question 2 · part b · 1 mark

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

2 (a) Which **one** of the following is the calculation for the rate of unemployment in a country?

(1)

- ☒ **A** Total labour force/Total population × 100
- ☒ **B** Number of unemployed/Total labour force × 100
- ☒ **C** Number of employed/Total labour force × 100
- ☒ **D** Total unemployment/Total population × 100

(b) Which **one** of the following describes a role of the World Trade Organization (WTO)?

(1)

- ☒ **A** Help with trade negotiations
- ☒ **B** Regulates multinational corporations
- ☒ **C** Provides financial assistance to developing countries
- ☒ **D** Stabilises exchange rates

(c) State **one** possible reason for a current account surplus.

(1)

(d) What is meant by the term relative poverty?

(2)

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5. Question 2 · part b · 1 mark · Working and answer

Working and answer

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6. Question 2 · part c · 1 mark

2025 NOV · Paper 02

Further practice · Attempt part c only.

2 (a) Which **one** of the following describes a trade bloc?

(1)

- ☒ **A** A group of countries that use the same currency
- ☒ **B** A group of countries that have the same tax rates
- ☒ **C** A group of countries that have the same language
- ☒ **D** A group of countries that reduce trade barriers between themselves

(b) Which **one** of the following best describes the role of currency speculators?

(1)

- ☒ **A** They invest in government bonds
- ☒ **B** They trade currencies to profit from changes in exchange rates
- ☒ **C** They lend money to countries at low interest rates
- ☒ **D** They keep exchange rates stable by fixing the currency

(c) State **one** possible role of the World Trade Organization (WTO).

(1)

(d) What is meant by the term economic growth?

(2)

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6. Question 2 · part c · 1 mark · Working and answer

Working and answer

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Practice workbook · Why countries protect trade: dumping, infant industries, jobs, safety

Why countries restrict imports: to stop dumping, protect jobs and infant industries, raise tariff revenue, keep out unsafe products, reduce a current account deficit, or retaliate. Includes the meaning of dumping and infant industries and why firms dump.

6 question parts: 1 worked-example retry and 5 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-T22-05

1. Question 2 · part f · 3 marks

2020 NOV · Paper 02 (regional R)

Worked-example retry · Attempt part f only.

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2 In 2018, the Indonesian rupiah depreciated to its lowest levels since 1997 against other major currencies.

(a) This depreciation is likely to have caused

(1)

- ☒ **A** an increase in exports and a decrease in imports
- ☒ **B** a decrease in exports and a decrease in imports
- ☒ **C** an increase in exports and an increase in imports
- ☒ **D** a decrease in exports and an increase in imports

(b) Which of the following is used as a measure of economic growth?

(1)

- ☒ **A** ILO
- ☒ **B** CPI
- ☒ **C** GDP
- ☒ **D** FDI

(c) State **one** reason why a government wants to reduce poverty and inequality.

(1)

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(d) What is meant by the term infrastructure?

(2)

1. Question 2 · part f · 3 marks

2020 NOV · Paper 02 (regional R)

Worked-example retry · Attempt part f only.

In 2018 the average number of job seekers in Germany decreased by 0.5% to 5.2% and was lower than at any time since 1991.

(e) Explain **one** impact of falling unemployment rates on tax revenue for a country such as Germany.

(3)

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In December 2018, consumers in the UK were warned to avoid some imported plastic toys because they contained banned chemicals. Many were being sold through online marketplaces.

(f) Explain **one** reason why UK consumers need protecting from some imported goods.

(3)

1. Question 2 · part f · 3 marks

2020 NOV · Paper 02 (regional R)

Worked-example retry · Attempt part f only.

In May 2018, South Korea's unemployment rate for people aged 15–29 increased to 11.6%. In several global competitiveness reports South Korea has recently been criticised for having too many rules and regulations. Experts have advised the South Korean Government to reduce some employment regulations for service sectors such as finance, transport and tourism in order to create more jobs.

(g) With reference to the data above and your knowledge of economics, assess the effectiveness of deregulation in reducing unemployment in South Korea.

(9)

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1. Question 2 · part f · 3 marks · Working and answer

Working and answer

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2. Question 3 · part b · 1 mark

2019 JUN · Paper 02

Further practice · Attempt part b only.

3 (a) What is the name given to a country's exports and imports of physical goods?

(1)

- ☒ **A** Trade in goods
- ☒ **B** Income flows
- ☒ **C** Trade in services
- ☒ **D** Transfer payments

(b) What term refers to a firm or country selling an export below the cost of production?

(1)

- ☒ **A** Quotas
- ☒ **B** Dumping
- ☒ **C** Deregulation
- ☒ **D** Tariffs

(c) Explain **one** method of government intervention that could be used to protect the environment.

(3)

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P 6 0 7 4 8 A 0 1 3 2 4

2. Question 3 · part b · 1 mark · Working and answer

Working and answer

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3. Question 1 · part g · 3 marks

2020 JAN · Paper 02 (regional R)

Further practice · Attempt part g only.

1 (a) What is calculated by using the consumer price index (CPI)?

(1)

- ☒ **A** Redistribution of income
- ☒ **B** Inflation rate
- ☒ **C** Economic growth
- ☒ **D** Exchange rate

(b) The sale or transfer of public sector assets to the private sector is known as

(1)

- ☒ **A** monetary policy
- ☒ **B** public expenditure
- ☒ **C** privatisation
- ☒ **D** fiscal policy

(c) What is meant by the term boom?

(2)

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3. Question 1 · part g · 3 marks

2020 JAN · Paper 02 (regional R)

Further practice · Attempt part g only.

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(d) What is meant by the term shoe leather costs?

(2)

(e) Calculate **the price in Indian Rupees (INR)** of machinery which costs $150 000 when the exchange rate is $1 = 70.66 INR. You are advised to show your working.

(2)

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3. Question 1 · part g · 3 marks

2020 JAN · Paper 02 (regional R)

Further practice · Attempt part g only.

Figure 1 shows the supply and demand of the pound (£) in terms of the euro (€).

(f) Using the diagram below, draw the effects on the exchange rate of the pound (£) of a decrease in UK exports to Eurozone countries. Label the new curve, the new equilibrium exchange rate and the new equilibrium quantity.

(3)

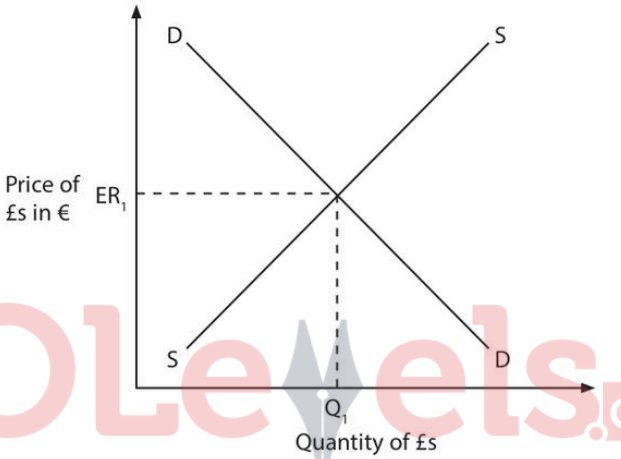


Figure 1

In November 2018, China launched its first ever anti-dumping investigation against Australia over the export of Australian barley.

(g) Explain **one** reason why a country such as Australia might export its products below the cost of production.

(3)

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3. Question 1 · part g · 3 marks

2020 JAN · Paper 02 (regional R)

Further practice · Attempt part g only.

Vietnam has progressive income tax rates that range from 5% to 35% depending on income.

(h) Analyse how a reduction in direct taxation is likely to affect the standard of living in a country such as Vietnam.

(6)

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Turn over

3. Question 1 · part g · 3 marks · Working and answer

Working and answer

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4. Question 1 · part d · 2 marks

2021 JUN · Paper 02

Further practice · Attempt part d only.

1 (a) Which type of unemployment occurs when the demand for a product is only at certain times of the year?

(1)

- ☒ **A** Structural
- ☒ **B** Cyclical
- ☒ **C** Seasonal
- ☒ **D** Voltuntary

(b) Which **one** of the following terms refers to a tax on imported goods?

(1)

- ☒ **A** Subsidy
- ☒ **B** Tariff
- ☒ **C** Fine
- ☒ **D** Pollution permit

(c) What is meant by the term recession?

(2)

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4. Question 1 · part d · 2 marks

2021 JUN · Paper 02

Further practice · Attempt part d only.

(d) What is meant by the term dumping?

(2)

Figure 1 shows the government revenue and expenditure in rupees crore for India in 2019–2020.

	Indian rupees crore (Rs)
Total revenue	2 080 201
Total expenditure	2 784 200

Figure 1

(e) Calculate the **fiscal surplus/deficit in Indian rupees crore (Rs)** for India in 2019–2020. You are advised to show your working.

(2)

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4. Question 1 · part d · 2 marks · Working and answer

Working and answer

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5. Question 1 · part d · 2 marks

2021 NOV · Paper 02

Further practice · Attempt part d only.

1 (a) Which **one** of the following terms refers to a physical limit on the quantity of imported products allowed into a country?

(1)

- ☒ **A** Devaluation
- ☒ **B** Dumping
- ☒ **C** Public good
- ☒ **D** Quota

(b) Which **one** of the following names is given to the government policy that aims to increase the productive capacity of the economy?

(1)

- ☒ **A** Trade
- ☒ **B** Fiscal
- ☒ **C** Supply-side
- ☒ **D** Exchange rate

(c) What is meant by the term downturn?

(2)

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5. Question 1 · part d · 2 marks

2021 NOV · Paper 02

Further practice · Attempt part d only.

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(d) What is meant by the term infant industries?

(2)

In August 2019 Inter Milan, an Italian football club, paid £73m to Manchester United for the transfer of footballer Romelu Lukaku. The exchange rate was £1 = €1.08.

(e) Calculate **the price Inter Milan paid in euros (€)** for the transfer of Romelu Lukaku. You are advised to show your working.

(2)

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5. Question 1 · part d · 2 marks · Working and answer

Working and answer

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6. Question 2 · part b · 1 mark

2024 NOV · Paper 02

Further practice · Attempt part b only.

2 (a) Which **one** of the following is a rise in the value of an exchange rate in a floating exchange rate system?

(1)

- ☒ **A** Appreciation
- ☒ **B** Depreciation
- ☒ **C** Revaluation
- ☒ **D** Devaluation

(b) Which **one** of the following is a reason why there is protection for international trade?

(1)

- ☒ **A** To allow dumping
- ☒ **B** To promote free trade
- ☒ **C** To protect domestic jobs
- ☒ **D** To increase the current account deficit

(c) State **one** possible impact of globalisation on consumers.

(1)

(d) What is meant by the term asset purchasing?

(2)

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6. Question 2 · part b · 1 mark · Working and answer

Working and answer

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Practice workbook · Applying a percentage: interest, tax and tariffs

Finding a given percentage of a sum and, where asked, adding it (interest earned, tariff-inclusive price) or subtracting it (net pay after tax).

6 question parts: 1 worked-example retry and 5 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-CALC-19

1. Question 1 · part e · 2 marks

2020 NOV · Paper 02 (regional R)

Worked-example retry · Attempt part e only.

1 (a) What type of unemployment is likely to be caused by generous welfare benefits?

(1)

- ☒ **A** Seasonal
- ☒ **B** Cyclical
- ☒ **C** Voluntary
- ☒ **D** Structural

(b) What name is given to the phase in the economic cycle when consumers start to regain confidence and economic activity is on the increase?

(1)

- ☒ **A** Boom
- ☒ **B** Downturn
- ☒ **C** Recession
- ☒ **D** Recovery

(c) What is meant by the term central bank?

(2)

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1. Question 1 · part e · 2 marks

2020 NOV · Paper 02 (regional R)

Worked-example retry · Attempt part e only.

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(d) Describe **one** disadvantage of free trade for domestic businesses.

(2)

Figure 1 shows the income tax rates for Cyprus in 2018. George earns €21 000 as a manager. This means George only pays tax on €1 500.

Taxable income (€)	Tax rate (%)
0 to €19 500	0%
€19 501 – €28 000	20%

Figure 1

(e) Calculate the **net pay** in euros (€) for George. You are advised to show your working.

(2)

O1.eVels.COM SCHOOL

1. Question 1 · part e · 2 marks

2020 NOV · Paper 02 (regional R)

Worked-example retry · Attempt part e only.

(f) Using the diagram below, draw the effect of the introduction of a new quota that is less than the original quota. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

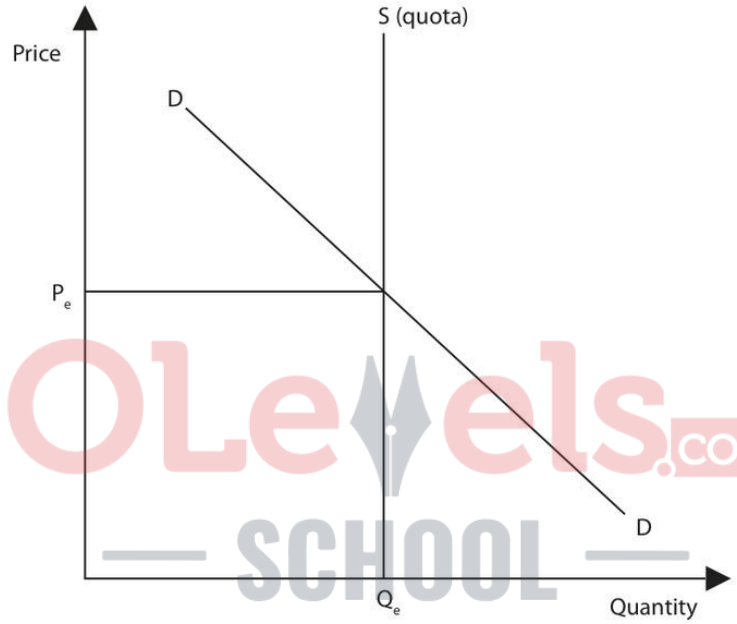


Figure 2

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1. Question 1 · part e · 2 marks · Working and answer

Working and answer

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2. Question 4 · part a · 2 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part a only.

4 Figure 4 shows the tariff on clothing imported into China in 2018.

Product	Imported Price yuan (¥)	Tariff (%)
Clothing	225	8

Figure 4

(a) Calculate the final selling price of clothing in yuan (¥) after the tariff has been added. You are advised to show your working.

(2)

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2. Question 4 · part a · 2 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part a only.

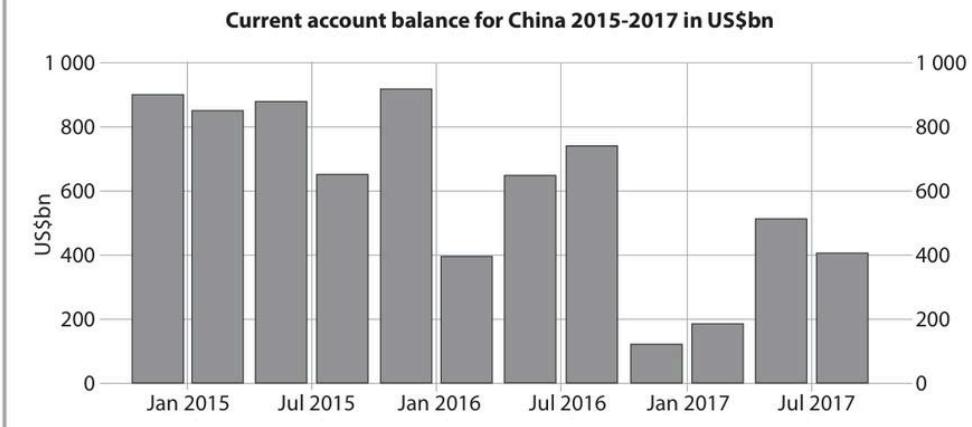


Figure 5

(Source: adapted from https://tradingeconomics.com/china/current-account)

(b) Analyse the benefits of a current account surplus for a country such as China.

(6)

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Turn over ▶

2. Question 4 · part a · 2 marks · Working and answer

Working and answer

OLevels.com SCHOOL

3. Question 4 · part a · 2 marks

2021 JUN · Paper 02

Further practice · Attempt part a only.

4 Zhang Li had 8 000 Yuan (¥) in her savings account. The annual interest rate for this savings account was 2.25%.

(a) Calculate how much **interest, in Yuan (¥)**, Zhang Li received in one year. You are advised to show your working.

(2)

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3. Question 4 · part a · 2 marks

2021 JUN · Paper 02

Further practice · Attempt part a only.

In July 2019, China's annual inflation rate increased to 2.8%. This was the highest rate since February 2018.

(b) With reference to the data above and your knowledge of economics, analyse the impact of inflation on individuals in a country such as China.

(6)

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P 6 5 8 9 8 A 0 1 5 2 0

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Turn over ▶

3. Question 4 · part a · 2 marks · Working and answer

Working and answer

OLevels.com SCHOOL

4. Question 2 · part b · 1 mark

2023 JAN · Paper 02 (regional R)

Further practice · Attempt part b only.

2 (a) Which type of unemployment would result from the permanent closure of a coal mine?

(1)

- ☒ **A** Seasonal
- ☒ **B** Voluntary
- ☒ **C** Structural
- ☒ **D** Cyclical

(b) What would be the annual amount of interest earned on £7 000 of savings if the interest rate was 3% per annum?

(1)

- ☒ **A** £21
- ☒ **B** £210
- ☒ **C** £2 333
- ☒ **D** £7 210

(c) State **one** advantage of free trade.

(1)

(d) What is meant by the term pollution permits?

(2)

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4. Question 2 · part b · 1 mark · Working and answer

Working and answer

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5. Question 1 · part e · 2 marks

2023 JAN · Paper 02

Further practice · Attempt part e only.

1 (a) Which **one** of the following is a role of the World Trade Organization (WTO)?

(1)

- ☒ **A** Writing off debts
- ☒ **B** Settling trade disputes
- ☒ **C** Increasing trade barriers
- ☒ **D** Paying subsidies to producers

(b) Which **one** of the following is an example of a supply-side policy to increase output?

(1)

- ☒ **A** Increasing income tax
- ☒ **B** Increasing interest rates
- ☒ **C** Increasing the school-leaving age
- ☒ **D** Increasing business taxes

(c) What is meant by the term economies of scale?

(2)

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5. Question 1 · part e · 2 marks

2023 JAN · Paper 02

Further practice · Attempt part e only.

(d) Describe **one** advantage of free trade for consumers.

(2)

Figure 1 shows the income tax rates for the UK in 2020–2021. Sofia earns £35 000 as a teacher. This means Sofia only pays 20% tax on £22 500 of her salary.

Taxable income	Tax rate (%)
0 to £12 500	0%
£12 501 to £50 000	20%
£50 001 to £150 000	40%
Over £150 000	45%

Figure 1

(Source: https://www.gov.uk/income-tax-rates)

(e) Calculate the **net pay** in £ for Sofia. You are advised to show your working.

(2)

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5. Question 1 · part e · 2 marks

2023 JAN · Paper 02

Further practice · Attempt part e only.

In May 2020, China introduced a tariff of 80% on Australian barley.

(f) Using the diagram below, draw the effects of the introduction of a tariff on the equilibrium price and quantity of Australian barley. Label the new curve, the new equilibrium price and new equilibrium quantity.

(3)

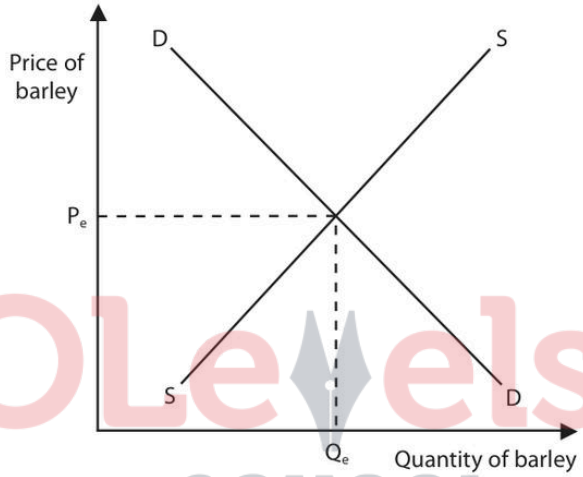


Figure 2

Tourism is a major sector in the French economy. It employs around 2 million people, both directly and indirectly.

(g) Explain **one** reason why some people in the tourism sector might suffer from seasonal unemployment in a country such as France.

(3)

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5. Question 1 · part e · 2 marks · Working and answer

Working and answer

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6. Question 2 · part b · 1 mark

2023 JUN · Paper 02

Further practice · Attempt part b only.

2 (a) Fiscal policy would involve a change in which **one** of the following?

(1)

- ☒ **A** Exchange rates
- ☒ **B** Interest rates
- ☒ **C** Production rates
- ☒ **D** Tax rates

(b) A savings account has €5 000 in it at the start of the year. If the interest rate is 2%, what is the total amount in the account at the end of the year?

(1)

- ☒ **A** €100
- ☒ **B** €2 500
- ☒ **C** €4 900
- ☒ **D** €5 100

(c) State **one** role of a central bank.

(1)

(d) What is meant by the term current account surplus?

(2)

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6. Question 2 · part b · 1 mark · Working and answer

Working and answer

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Practice workbook · Benefits and costs of economic growth

Effects of growth on jobs, living standards, poverty, productive potential, inflation and the environment, and why growth is an objective.

10 question parts: 1 worked-example retry and 9 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

OLevels.com SCHOOL

Type ID: ECO-T21-07

1. Question 3 · part e · 9 marks

2021 JUN · Paper 02

Worked-example retry · Attempt part e only.

3 Figure 3 shows selected UK Government receipts from taxation in 2019.

	£bn
Sales tax (VAT)	186.3
Income tax	268.3
Tariffs	31.9
Business tax	53.4

Figure 3

(a) What is the total amount of revenue raised by indirect taxes?

(1)

- ☒ **A** £454.6bn
- ☒ **B** £321.7bn
- ☒ **C** £218.2bn
- ☒ **D** £85.3bn

(b) Member countries of a trading bloc agree to

(1)

- ☒ **A** trade together with low or no barriers
- ☒ **B** have the same rate of income tax
- ☒ **C** only trade with members within the bloc
- ☒ **D** have common borders between members

Brazil currently only allows a quota of 600 million litres of ethanol per year to be imported from the US.

(c) Explain **one** advantage of using quotas for a country such as Brazil.

(3)

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1. Question 3 · part e · 9 marks

2021 JUN · Paper 02

Worked-example retry · Attempt part e only.

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The Slovenian Government spent €3.05bn on healthcare in 2019. This included additional funding for reducing the time people were waiting for treatment and an extra €104m to cover the recent increase in wage rates for healthcare staff.

(d) With reference to the data above and your knowledge of economics, analyse why the Slovenian Government might want to increase investment in healthcare.

(6)

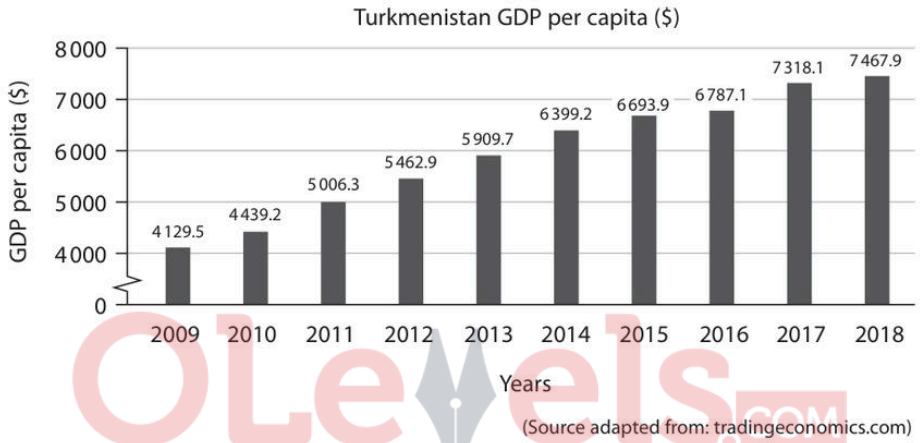
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1. Question 3 · part e · 9 marks

2021 JUN · Paper 02

Worked-example retry · Attempt part e only.

In recent years Turkmenistan has been one of the fastest growing economies. The most important sector of the economy is oil and natural gas extraction, which accounts for more than 60% of GDP. Although agriculture accounts for only 10% of GDP, it employs 50% of the labour force. Turkmenistan has seen annual GDP growth rates of 6.2%.



(Source adapted from: tradingeconomics.com)

Figure 4

(e) With reference to the data above and your knowledge of economics, assess the likely benefits of economic growth for a country such as Turkmenistan.

(9)

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1. Question 3 · part e · 9 marks

2021 JUN · Paper 02

Worked-example retry · Attempt part e only.

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(Total for Question 3 = 20 marks)

1. Question 3 · part e · 9 marks · Working and answer

Working and answer

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2. Question 1 · part d · 2 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

1 (a) In a recovery, a country's Gross Domestic Product (GDP)

(1)

- ☒ **A** rises
- ☒ **B** falls
- ☒ **C** stays the same
- ☒ **D** fluctuates

(b) A trade bloc is a group of countries that have

(1)

- ☒ **A** the same interest rate
- ☒ **B** common borders between members
- ☒ **C** the same currency
- ☒ **D** a reduction in trade barriers between members

(c) What is meant by the term multinational corporation (MNC)?

(2)

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2. Question 1 · part d · 2 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

(d) Describe **one** impact of economic growth on the productive potential of a country.

(2)

Figure 1 shows the main components of Germany's current account in 2016.

	€ billion
Trade in goods (visibles)	+271.7
Trade in services (invisibles)	-22.4

Figure 1

(Source: Bundesbank)

(e) Using the data in Figure 1, calculate in € bn the current account balance for Germany in 2016.

(2)

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2. Question 1 · part d · 2 marks · Working and answer

Working and answer

OLevels.com SCHOOL

3. Question 1 · part g · 3 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part g only.

1 (a) In a recovery, a country's Gross Domestic Product (GDP)

(1)

- ☒ **A** rises
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- ☒ **C** stays the same
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3. Question 1 · part g · 3 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part g only.

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(2)

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3. Question 1 · part g · 3 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part g only.

(f) The UK exports goods to eurozone countries. Using the diagram below, draw the effects of an increase in exports from the UK to the eurozone on the exchange rate of the £. Label the new curve, the new equilibrium exchange rate and the new equilibrium quantity.

(3)

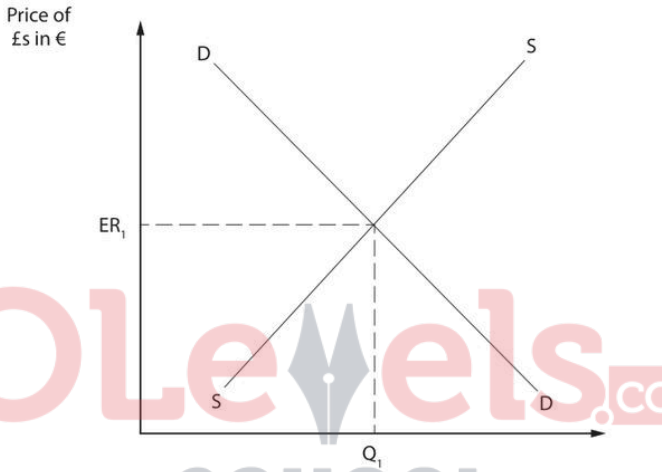


Figure 2

In September 2017, the growth rate of the gross domestic product (GDP) in the UK was 0.4%, a slight increase of 0.1% on the previous quarter.

(g) Explain **one** reason why economic growth is a key macroeconomic objective for a country such as the UK.

(3)

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3. Question 1 · part g · 3 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part g only.

The Government of Singapore had a fiscal surplus of 1.3% of GDP in 2016 and it is expected to have a 0.4% of GDP surplus in 2017.

(h) Analyse the impact of a fiscal surplus on a country such as Singapore.

(6)

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(Total for Question 1 = 20 marks)

3. Question 1 · part g · 3 marks · Working and answer

Working and answer

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4. Question 2 · part f · 3 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part f only.

2 (a) GDP per capita is a measure of a country's economic output that accounts for population.

If Sweden has a population of 10 million and a GDP of $511 bn (1bn = 1 000 000 000), then its GDP per capita is

(1)

- ☒ **A** $511
- ☒ **B** $5 110
- ☒ **C** $51 100
- ☒ **D** $511 000

(b) What is the name of the policy that focuses on interest rate changes?

(1)

- ☒ **A** Deregulation
- ☒ **B** Exchange rate
- ☒ **C** Monetary
- ☒ **D** Fiscal

(c) State **one** impact of a current account deficit. (1)

(d) What is meant by the term absolute poverty? (2)

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4. Question 2 · part f · 3 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part f only.

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In December 2017 the Thai baht appreciated to its highest value in 2 years against the US dollar. The Thai baht is predicted to continue its gradual appreciation in 2018.

(e) Explain **one** disadvantage of an appreciating currency for an economy such as Thailand.

(3)

President Xi Jinping of China has made environmental protection a priority. This is due to rising public concern over widespread environmental damage caused by years of uncontrolled economic growth.

(f) Explain **one** possible negative effect on the environment caused by the economic growth of a country such as China.

(3)

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4. Question 2 · part f · 3 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part f only.

A new UK report identified the urgent need to reduce pollution from vehicles and provide more open spaces and parks.

Researchers looked at the impact on health when participants walked for two hours on London's busy Oxford Street. This was then compared to those walking in the nearby large open space of Hyde Park.

The results showed that people walking in the park performed better. The air pollution from vehicle fumes largely removed the health benefit from the exercise in Oxford Street. The report suggests that people should avoid walking in busy streets and should instead walk in parks or open spaces.

(Source: adapted from http://edition.cnn.com/2017/12/05/health/exercise-polluted-urban-streets-intl/index.html)

(g) With reference to the data above and your knowledge of economics, assess whether the government should provide more parks and open spaces.

(9)

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4. Question 2 · part f · 3 marks · Working and answer

Working and answer

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5. Question 1 · part d · 2 marks

2020 NOV · Paper 02

Further practice · Attempt part d only.

1 (a) The International Labour Organisation (ILO) measures

(1)

- ☒ **A** inflation
- ☒ **B** unemployment
- ☒ **C** economic growth
- ☒ **D** government spending

(b) Which method of protection is used to reduce the price of exports?

(1)

- ☒ **A** Free trade
- ☒ **B** Tariffs
- ☒ **C** Subsidies
- ☒ **D** Quotas

(c) What is meant by the term gross domestic product (GDP)?

(2)

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5. Question 1 · part d · 2 marks

2020 NOV · Paper 02

Further practice · Attempt part d only.

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(d) Describe **one** positive impact of economic growth.

(2)

Consumer Price Index (CPI) was 120.4 in 2017 and it increased to 130.3 in 2018.

(e) Calculate, to two decimal places, the **rate of inflation** in 2018. You are advised to show your working.

(2)

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5. Question 1 · part d · 2 marks · Working and answer

Working and answer

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6. Question 1 · part g · 3 marks

2021 NOV · Paper 02

Further practice · Attempt part g only.

1 (a) Which **one** of the following terms refers to a physical limit on the quantity of imported products allowed into a country?

(1)

- ☒ **A** Devaluation
- ☒ **B** Dumping
- ☒ **C** Public good
- ☒ **D** Quota

(b) Which **one** of the following names is given to the government policy that aims to increase the productive capacity of the economy?

(1)

- ☒ **A** Trade
- ☒ **B** Fiscal
- ☒ **C** Supply-side
- ☒ **D** Exchange rate

(c) What is meant by the term downturn?

(2)

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6. Question 1 · part g · 3 marks

2021 NOV · Paper 02

Further practice · Attempt part g only.

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(d) What is meant by the term infant industries?

(2)

In August 2019 Inter Milan, an Italian football club, paid £73m to Manchester United for the transfer of footballer Romelu Lukaku. The exchange rate was £1 = €1.08.

(e) Calculate **the price Inter Milan paid in euros (€)** for the transfer of Romelu Lukaku. You are advised to show your working.

(2)

OLevels.com SCHOOL

6. Question 1 · part g · 3 marks

2021 NOV · Paper 02

Further practice · Attempt part g only.

In December 2019, the USA imposed a 10% tariff on toys imported from China.

(f) Using the diagram below, draw the likely effect of the introduction of this tariff on the equilibrium price and quantity of toys imported from China. Label the new curve, the new equilibrium price and new equilibrium quantity.

(3)

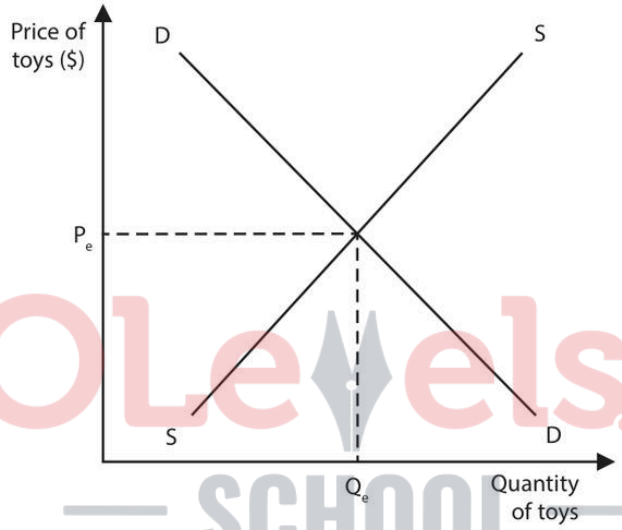


Figure 1

Economic growth in Malaysia increased to 4.9% between April and June 2019.

(g) Explain **one** disadvantage of economic growth for a country such as Malaysia.

(3)

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6. Question 1 · part g · 3 marks

2021 NOV · Paper 02

Further practice · Attempt part g only.

Kenya's annual inflation rate increased to 6.27% in July 2019 from 5.7% in the previous month. Kenya's central bank base rate for July was 9%.

(h) With reference to the data above and your knowledge of economics, analyse how monetary policy can be used to control inflation in a country such as Kenya.

(6)

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(Total for Question 1 = 20 marks)

6. Question 1 · part g · 3 marks · Working and answer

Working and answer

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7. Question 2 · part b · 1 mark

2022 JUN · Paper 02

Further practice · Attempt part b only.

2 (a) Globalisation results in increasing

(1)

- ☒ **A** levels of debt for all national economies
- ☒ **B** protectionism amongst national economies
- ☒ **C** amounts of legislation for national economies
- ☒ **D** integration and interdependence of national economies

(b) Which **one** of the following is a possible impact of economic growth?

(1)

- ☒ **A** An increase in unemployment
- ☒ **B** An increase in environmental damage
- ☒ **C** A reduction in investment
- ☒ **D** A reduction in tax revenues

(c) State **one** type of unemployment.

(1)

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(d) What is meant by the term recovery?

(2)

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7. Question 2 · part b · 1 mark · Working and answer

Working and answer

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8. Question 1 · part d · 2 marks

2023 JAN · Paper 02 (regional R)

Further practice · Attempt part d only.

1 (a) What does the International Labour Organisation (ILO) measure?

(1)

- ☒ **A** Economic growth
- ☒ **B** Unemployment
- ☒ **C** Government spending
- ☒ **D** Inflation

(b) Which **one** of the following is considered to be a progressive tax in the UK?

(1)

- ☒ **A** Income tax
- ☒ **B** Value added tax (VAT)
- ☒ **C** Excise duties
- ☒ **D** Import tariff

(c) What is meant by the term deregulation?

(2)

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8. Question 1 · part d · 2 marks

2023 JAN · Paper 02 (regional R)

Further practice · Attempt part d only.

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(d) Describe **one** negative impact of economic growth.

(2)

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(e) Calculate the **price in euros (€)** of a UK manufactured car priced at £15 000 when the exchange rate is £1 = €1.10. You are advised to show your working.

(2)

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8. Question 1 · part d · 2 marks · Working and answer

Working and answer

OLevels.com SCHOOL

9. Question 2 · part c · 1 mark

2023 JAN · Paper 02

Further practice · Attempt part c only.

2 (a) Money earned from foreign tourists visiting Canada is shown in Canada's current account on the balance of payments as:

(1)

- ☒ **A** visible exports
- ☒ **B** visible imports
- ☒ **C** invisible exports
- ☒ **D** invisible imports

(b) Which **one** of the following is likely to help protect the environment?

(1)

- ☒ **A** An increase in fines
- ☒ **B** An increase in pollution permits
- ☒ **C** A reduction in regulation
- ☒ **D** A reduction in the provision of parks

(c) State **one** possible disadvantage of economic growth.

(1)

(d) What is meant by the term privatisation?

(2)

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9. Question 2 · part c · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

10. Question 2 · part e · 3 marks

2023 NOV · Paper 02

Further practice · Attempt part e only.

2 (a) What is the main reason for a government to devalue its currency?

(1)

- ☒ **A** To increase the demand for its exports
- ☒ **B** To decrease the demand for its exports
- ☒ **C** To increase the demand for imports
- ☒ **D** To decrease foreign investment

(b) Which **one** of the following is the most likely reason for increased globalisation?

(1)

- ☒ **A** An increase in tariffs and quotas
- ☒ **B** An increase in the cost of transport
- ☒ **C** An increase in the significance of MNCs
- ☒ **D** An increase in the cost of communication

(c) State **one** possible macroeconomic objective for a government.

(1)

(d) What is meant by the term seasonal unemployment?

(2)

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10. Question 2 · part e · 3 marks

2023 NOV · Paper 02

Further practice · Attempt part e only.

In 2022, Vietnam's economy grew by 8.02%, exceeding its annual target of 6.5%.

(e) Explain **one** reason why rapid economic growth may be harmful for an economy such as Vietnam.

(3)

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10. Question 2 · part e · 3 marks

2023 NOV · Paper 02

Further practice · Attempt part e only.

Figure 2 shows the supply of and demand for UK pounds (£) in terms of US dollars ($) and the equilibrium exchange rate.

(f) Using the diagram below, draw the effect of an increase in UK exports to the US on the equilibrium exchange rate of the UK pound (£). Label the new curve, the new equilibrium exchange rate and the new equilibrium quantity.

(3)

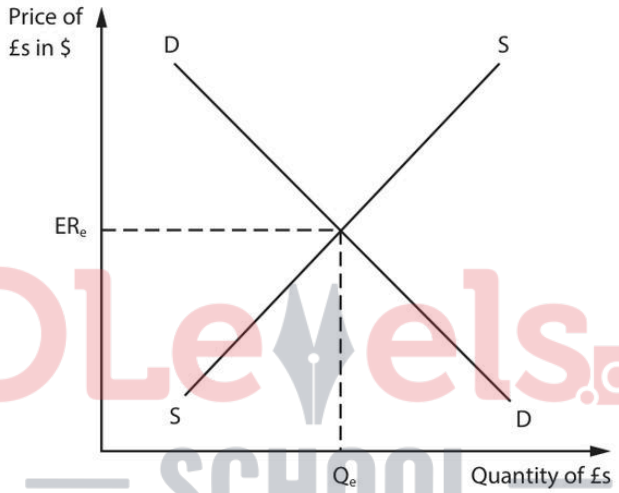


Figure 2

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10. Question 2 · part e · 3 marks · Working and answer

Working and answer

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Practice workbook · Who gains and who loses from globalisation

The gains and costs of globalisation for different groups: living standards, choice, prices, communication, closure of traditional industries, environmental harm and dependence on world markets.

8 question parts: 1 worked-example retry and 7 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-T22-02

1. Question 3 · part d · 6 marks

2024 JUN · Paper 02

Worked-example retry · Attempt part d only.

3 (a) Which **one** of the following is an example of foreign direct investment (FDI)?

(1)

- ☒ **A** A Japanese car company buying an Indonesian car company
- ☒ **B** An Indonesian supermarket buying produce from a farm in India
- ☒ **C** A Malaysian gift shop selling souvenirs to a Malaysian tourist
- ☒ **D** An Australian mining company selling coal to an Indonesian power station

The exchange rate between the US dollar ($) and the British pound (£) is $1 = £0.80

(b) How many US dollars ($) would it take to purchase £150?

(1)

- ☒ **A** $120.00
- ☒ **B** $150.80
- ☒ **C** $187.50
- ☒ **D** $230.00

The UK Government has removed the 12% import tariff on palm oil from Malaysia.

(c) Using the diagram below, draw the effects of the removal of the tariff on the equilibrium price and quantity of palm oil imported into the UK from Malaysia. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

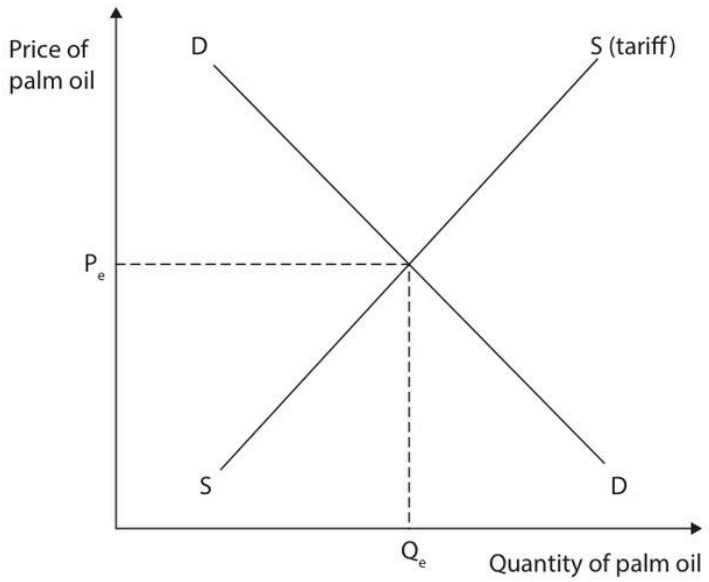


Figure 4

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1. Question 3 · part d · 6 marks

2024 JUN · Paper 02

Worked-example retry · Attempt part d only.

Global trade reached a record high of $29 trillion in 2022. It has continued to grow, although at a slower rate since the global health crisis.

(d) With reference to the data above and your knowledge of economics, analyse the possible benefits for consumers of globalisation.

(6)

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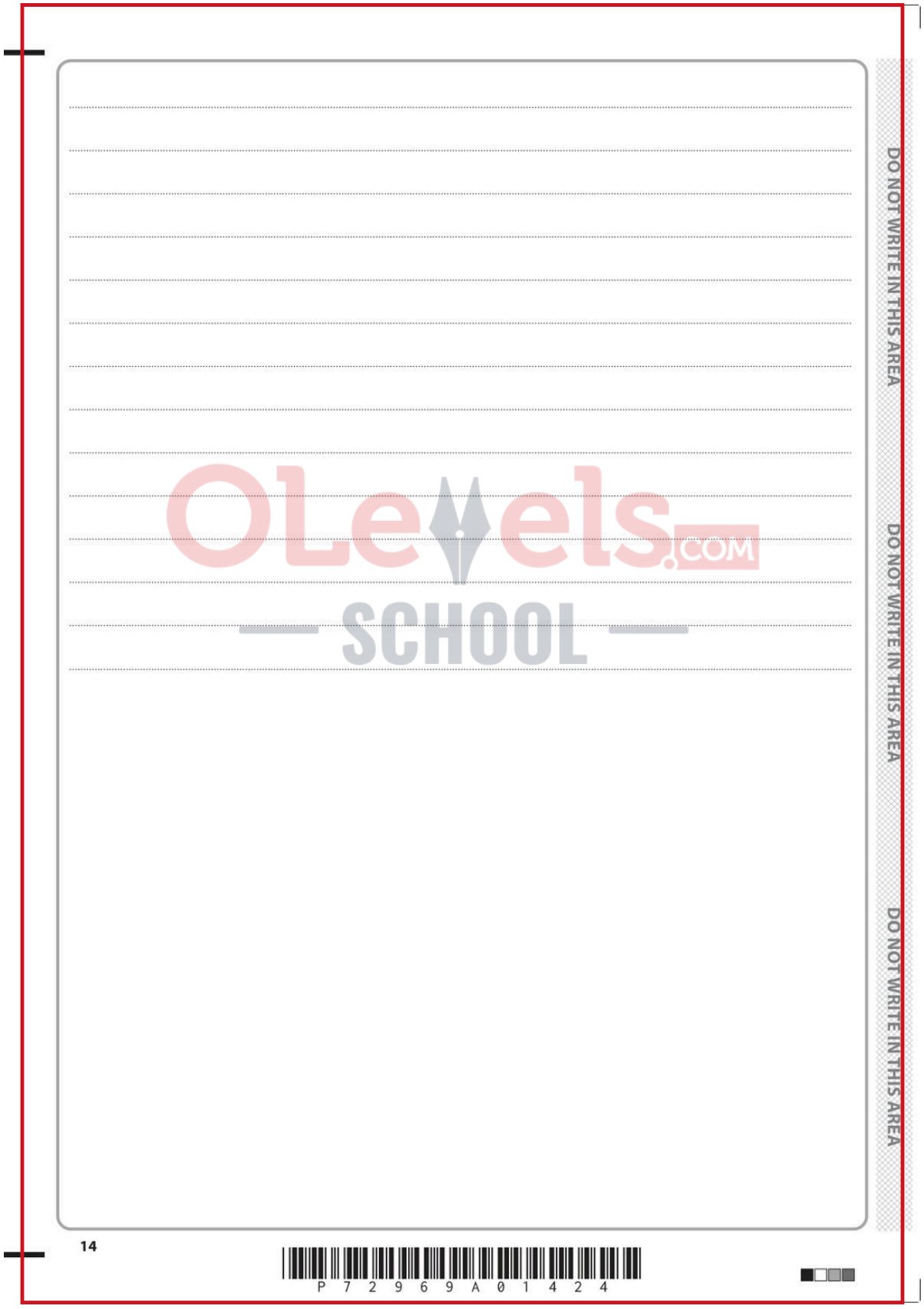
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1. Question 3 · part d · 6 marks

2024 JUN · Paper 02

Worked-example retry · Attempt part d only.



1. Question 3 · part d · 6 marks

2024 JUN · Paper 02

Worked-example retry · Attempt part d only.

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Germany's economy shrank more than expected in the fourth quarter of 2022. This raised doubts over the ability of Europe's biggest economy to avoid a recession and recover quickly from its energy crisis due to high gas and oil prices.

Record inflation rates of 10.4% caused reductions in German consumer spending and business investment in buildings and machinery. This led to a 0.4% decrease in gross domestic product (GDP) from the previous quarter.

The effects will be felt by consumers, workers, firms and the German Government.

(e) With reference to the data above and your knowledge of economics, assess how a recession may affect inflation in a country such as Germany.

(9)

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1. Question 3 · part d · 6 marks · Working and answer

Working and answer

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2. Question 4 · part c · 12 marks

2020 JAN · Paper 02

Further practice · Attempt part c only.

4 Figure 4 shows Kenya's interest rate (%) from January to October 2018.

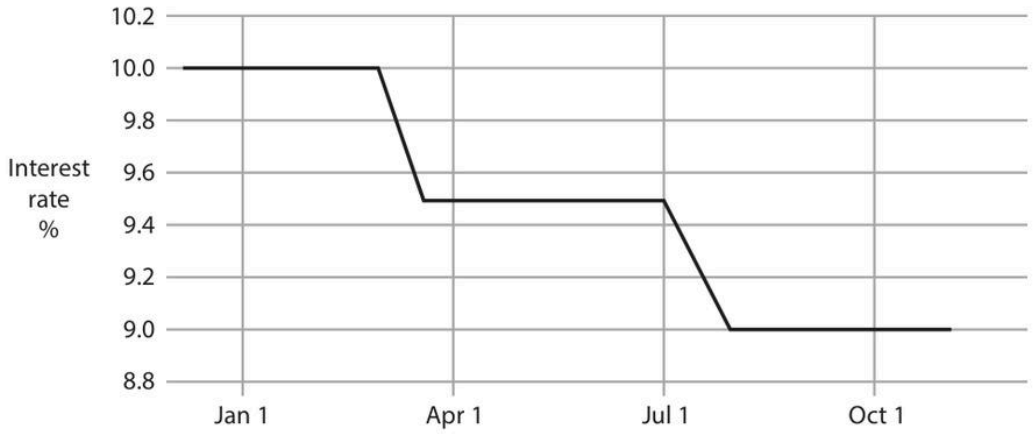


Figure 4

(Source: https://tradingeconomics.com/kenya/interest-rate)

(a) Calculate the **percentage change** in Kenya's interest rate between January and October 2018. You are advised to show your working. **(2)**

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2. Question 4 · part c · 12 marks

2020 JAN · Paper 02

Further practice · Attempt part c only.

The annual rate of inflation in Kenya was 5.7% in September 2018 and fell to 5.53% in October 2018.

(b) Analyse how monetary policy could be used to further reduce the rate of inflation in Kenya.

(6)

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2. Question 4 · part c · 12 marks

2020 JAN · Paper 02

Further practice · Attempt part c only.

Kenya is the third largest exporter of cut flowers in the world, accounting for 1.3% of its GDP. Kenya's main airport has a terminal dedicated especially to the transport of flowers and vegetables.

The Kenyan flower industry has created many employment opportunities. Around 100,000 people are employed directly on the flower farms and over 500,000 people benefit indirectly from this industry.

Over half of Kenya's 127 flower farms are concentrated around Lake Naivasha due to the large amount of water needed to grow the flowers. Some environmental campaigners have expressed concerns over the impact that the flower industry could have on the lake.

(c) With reference to the data above and your knowledge of economics, evaluate the likely benefits for Kenya of the globalisation of its flower industry.

(12)

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2. Question 4 · part c · 12 marks

2020 JAN · Paper 02

Further practice · Attempt part c only.

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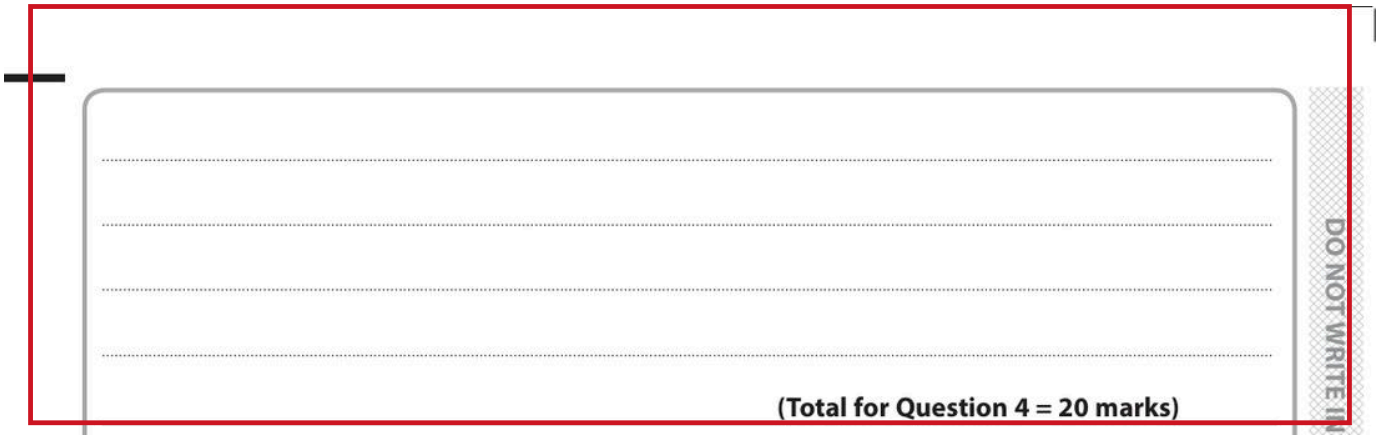
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2. Question 4 · part c · 12 marks

2020 JAN · Paper 02

Further practice · Attempt part c only.



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2. Question 4 · part c · 12 marks · Working and answer

Working and answer

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3. Question 3 · part c · 3 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part c only.

3 (a) Cost-push inflation is most likely to result from an increase in **(1)**

- ☒ **A** the rate of income tax
- ☒ **B** productivity
- ☒ **C** wage rates
- ☒ **D** government spending

(b) Monetary policy would involve changes in which one of the following? **(1)**

- ☒ **A** Government spending
- ☒ **B** Interest rates
- ☒ **C** Taxation
- ☒ **D** Balance of payments

The consumption of avocados in the US used to be restricted to the summer months when farmers in California harvested their crops. Now avocados are available all year and 90% are imported from Mexico.

(c) Explain **one** way globalisation has affected consumers in the US. **(3)**

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3. Question 3 · part c · 3 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part c only.

In August 2018, Mondelez, a food and beverage multinational corporation (MNC), opened its first factories in Bangladesh. Previously, Mondelez had been exporting its products into Bangladesh for 15 years.

(d) Analyse why a MNC, such as Mondelez, might want to invest in Bangladesh.

(6)

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12

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3. Question 3 · part c · 3 marks · Working and answer

Working and answer

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4. Question 3 · part b · 1 mark

2023 JAN · Paper 02

Further practice · Attempt part b only.

3 (a) What was the rate of inflation if the consumer price index (CPI) of a country rose from 120 to 150?

(1)

- ☒ **A** 25%
- ☒ **B** 30%
- ☒ **C** 50%
- ☒ **D** 150%

(b) Which **one** of the following is an impact of globalisation?

(1)

- ☒ **A** Higher prices
- ☒ **B** Closing of traditional industries
- ☒ **C** Reduced choice
- ☒ **D** Increased cost of communication

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4. Question 3 · part b · 1 mark

2023 JAN · Paper 02

Further practice · Attempt part b only.

In December 2020, the UK unemployment rate was 5.1%. This was an increase of 1.3% from September 2020.

(c) Explain **one** likely impact on UK tax revenue from rising unemployment rates.

(3)

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4. Question 3 · part b · 1 mark · Working and answer

Working and answer

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5. Question 3 · part d · 6 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

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3 A government has a total expenditure of €700bn and a total revenue of €800bn.

(a) What is the fiscal deficit/surplus?

(1)

- ☒ **A** €1 500bn deficit
- ☒ **B** €100bn deficit
- ☒ **C** €1 500bn surplus
- ☒ **D** €100bn surplus

(b) Which **one** of the following is an example of a menu cost for Nike in its online shop during times of inflation?

(1)

- ☒ **A** The cost of raw materials for producing Nike shoes
- ☒ **B** The cost of updates to the website due to higher prices for shoes
- ☒ **C** The cost to consumers of looking for the lowest price of shoes
- ☒ **D** The cost of shipping and handling fees for online orders

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5. Question 3 · part d · 6 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

(c) Using the diagram below label the remaining three stages of the economic cycle in the boxes on the diagram.

(3)

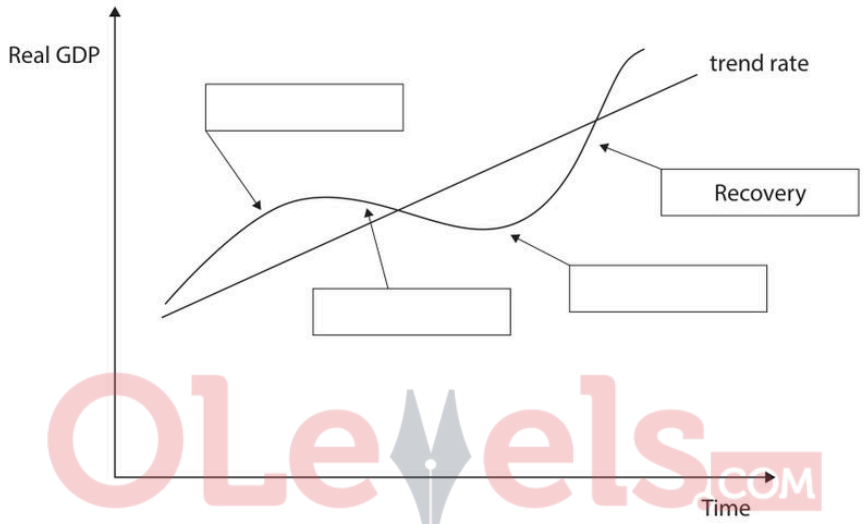


Figure 4

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5. Question 3 · part d · 6 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

The largest manufacturer and exporter of clothing products is China, with 65% of the world's clothing being made there. The second largest country for clothing manufacturing is Bangladesh. Clothing exports make up nearly 85% of Bangladesh's total exports.

(d) With reference to the data above and your knowledge of economics, analyse the likely benefits of globalisation for clothing manufacturers.

(6)

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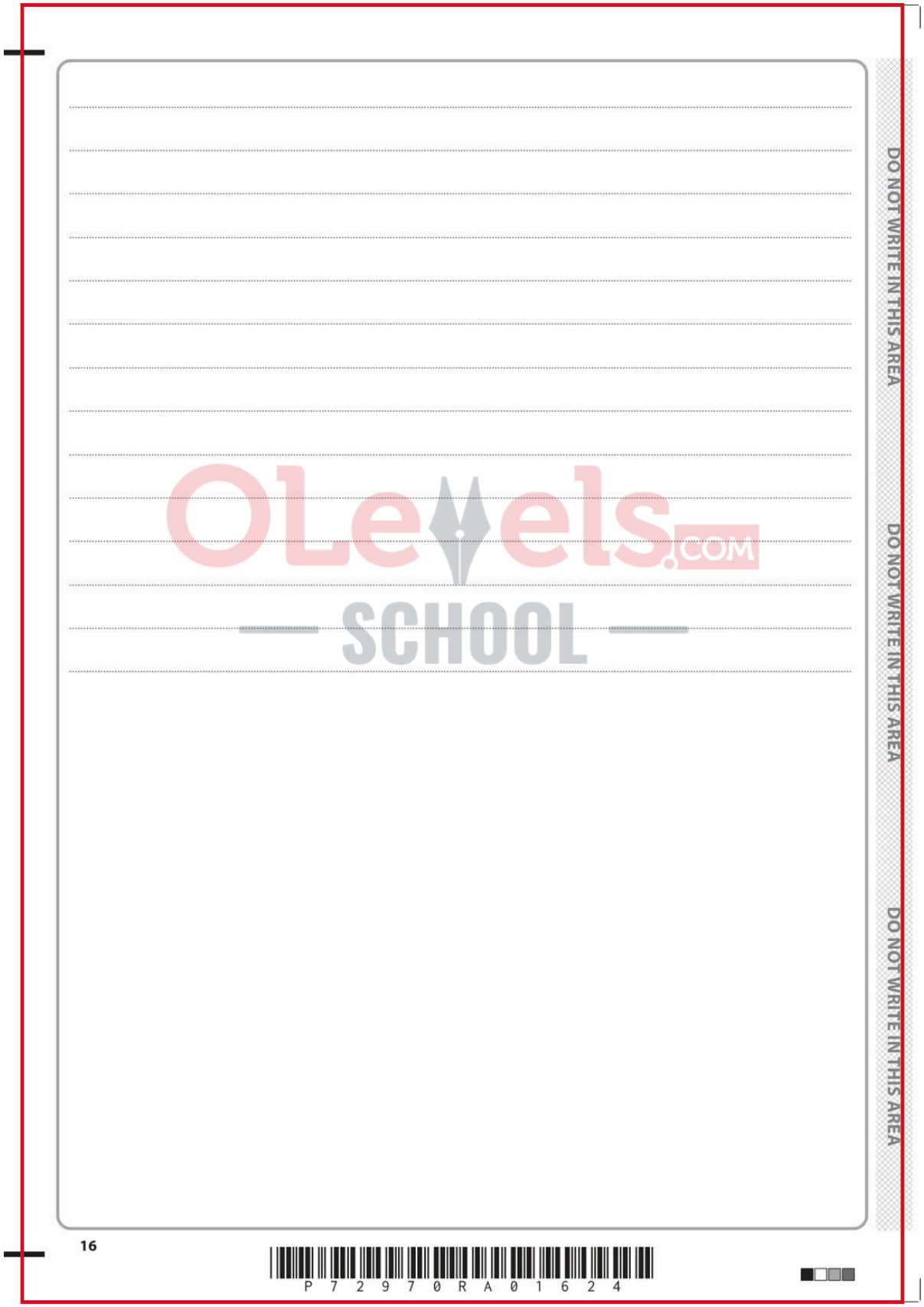
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5. Question 3 · part d · 6 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.



5. Question 3 · part d · 6 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

Brazilian tyre producers previously had a fall in production caused by an increase in imports. As a result, producers were warning that they might need to stop production, which would result in job losses.

In March 2023, the Brazilian Government put an import tariff on tyres. The tariff on tyres increased from 0% to 16%. A government source said, "The previous government believed in more open trade. The current one has a different view and they think they must protect domestic producers."

(e) With reference to the data above and your knowledge of economics, assess the possible benefits for the Brazilian economy of introducing a tariff on tyres.

(9)

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5. Question 3 · part d · 6 marks · Working and answer

Working and answer

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6. Question 2 · part a · 1 mark

2024 JUN · Paper 02

Further practice · Attempt part a only.

2 (a) What is the likely impact of lower transport and communication costs on an economy?

(1)

- ☒ **A** Increased unemployment
- ☒ **B** Decreased international trade
- ☒ **C** Increased economic growth
- ☒ **D** Decreased consumer spending

(b) Which **one** of the following types of unemployment is caused by changes in the business cycle?

(1)

- ☒ **A** Structural
- ☒ **B** Seasonal
- ☒ **C** Frictional
- ☒ **D** Cyclical

(c) State **one** possible impact of a current account deficit.

(1)

(d) What is meant by the term fines?

(2)

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6. Question 2 · part a · 1 mark · Working and answer

Working and answer

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7. Question 2 · part c · 1 mark

2024 NOV · Paper 02

Further practice · Attempt part c only.

2 (a) Which **one** of the following is a rise in the value of an exchange rate in a floating exchange rate system?

(1)

- ☒ **A** Appreciation
- ☒ **B** Depreciation
- ☒ **C** Revaluation
- ☒ **D** Devaluation

(b) Which **one** of the following is a reason why there is protection for international trade?

(1)

- ☒ **A** To allow dumping
- ☒ **B** To promote free trade
- ☒ **C** To protect domestic jobs
- ☒ **D** To increase the current account deficit

(c) State **one** possible impact of globalisation on consumers.

(1)

(d) What is meant by the term asset purchasing?

(2)

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7. Question 2 · part c · 1 mark · Working and answer

Working and answer

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8. Question 4 · part c · 12 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

4 Figure 5 shows the population of Ghana and the number of people employed on small cocoa farms in Ghana in 2024.

	2024
Population	34,532,935
Employed on small cocoa farms	867,000

Figure 5

(a) Calculate, to two decimal places, the **percentage of the population employed** on small cocoa farms in Ghana in 2024. You are advised to show your working.

(2)

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8. Question 4 · part c · 12 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

In June 2023, the Vice-President of Ghana, Dr Mahamudu Bawumia, agreed to the building of a 31.2 km highway costing $50m. The construction is part of a 67 km highway that would link central areas of Ghana to the northern regions and neighbouring countries.

(b) With reference to the data above and your knowledge of economics, analyse how spending on road infrastructure could benefit a country such as Ghana.

(6)

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8. Question 4 · part c · 12 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

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8. Question 4 · part c · 12 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

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Cocoa is a major ingredient in the manufacture of chocolate products. Ghana is the world's second-largest producer of cocoa, which accounts for 3.5% of gross domestic product (GDP).

Almost all the cocoa is exported, generating more than $2bn annually through foreign exchange. Many people are employed directly in the production of cocoa, with most cocoa grown on small farms.

Oxfam said that 90% of cocoa farmers in Ghana do not earn enough income and cannot afford enough food or other basics such as clothing, housing and medical care. Many of the 867,000 farmers in the country survive on just $2 a day.

Meanwhile, the world's four biggest chocolate producers are enjoying large profits. Hershey, Lindt, Mondelēz and Nestlé have seen their profits increase by 16% in recent years as demand for chocolate products has risen.

(c) With reference to the data above and your knowledge of economics, evaluate the possible benefits of globalisation for cocoa farmers in Ghana.

(12)

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Turn over

8. Question 4 · part c · 12 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

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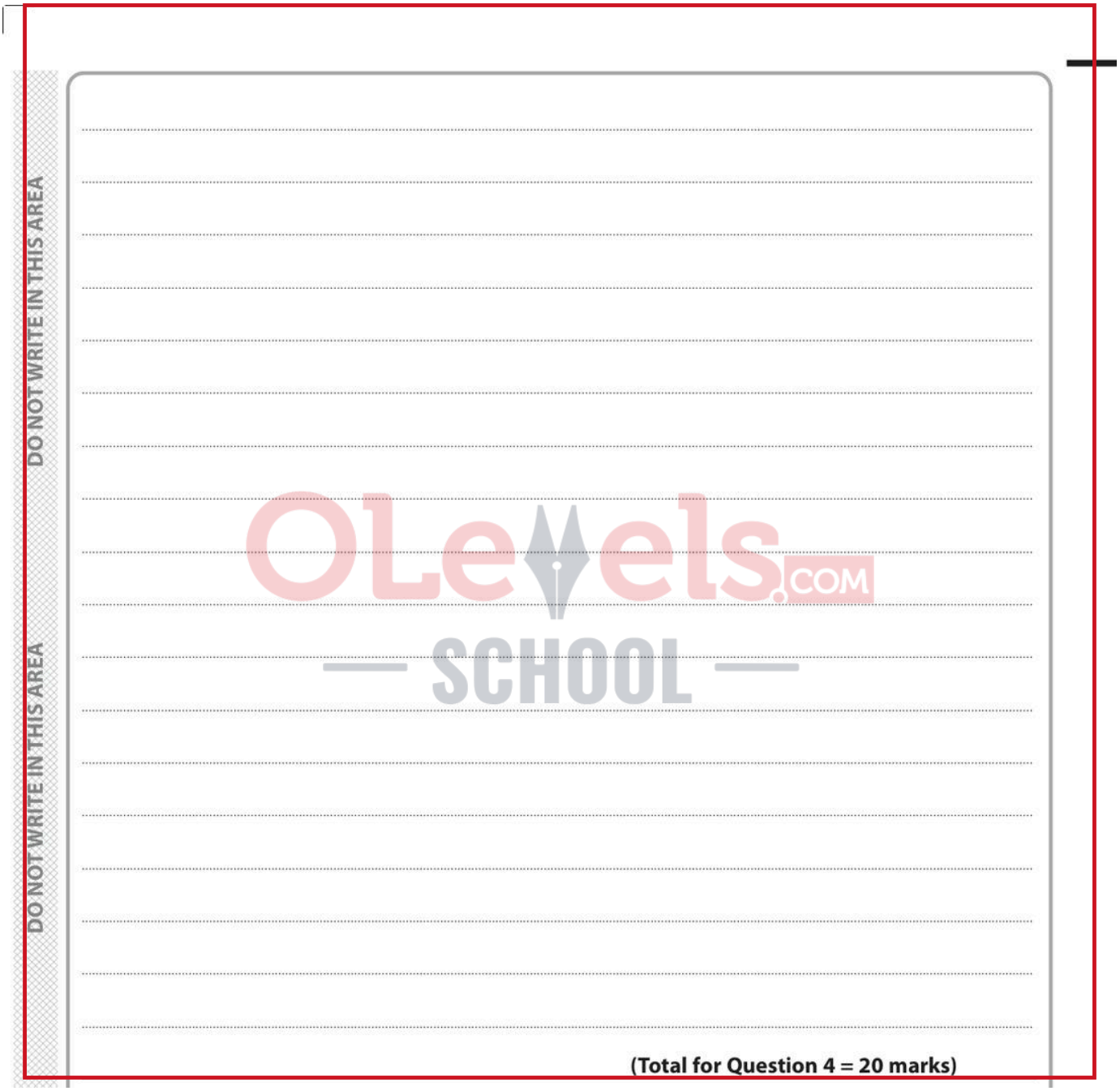
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P 7 2 1 3 5 A 0 2 4 2 8

8. Question 4 · part c · 12 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.



8. Question 4 · part c · 12 marks · Working and answer

Working and answer

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